

HDFC LTD, in its 45-year history, had not just helped a chunk of the country's population build dream homes, but also birthed one of the top private lenders of the country. However, the past few years have been tough with the tried-and-tested business model of the country's largest non-banking finance company (NBFC) facing regulatory headwinds for the first time. Chairman Deepak Parekh, 77, could envisage that the mortgage giant was entering choppy waters. And he was prepared. The patriarch of the HDFC conglomerate, a keen bridge player, kept his cards close to his chest, waiting for the right time to reveal his hand.

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On a balmy Monday morning in early April, Parekh finally revealed his hand: a \$40-billion merger of HDFC Ltd with its banking subsidiary, HDFC Bank. But this was always on the cards, some said; in fact, talks of a reverse merger of HDFC Ltd with HDFC Bank had been a topic of discussion for over a decade, with the only question being when. As it turns out, when Parekh took the wraps off his move, no one, including the markets, had any clue. Making the announcement, Parekh said the time was right to find a new home. "Our new home is with our family, with our own people, but it's bigger, better, and significantly more promising," said the man whose uncle, H.T. Parekh, had set up the mortgage company in the late 1970s. "This merger is a coming-together of equals," said Parekh, who has transformed the group into a financial services powerhouse over the past few decades.

The markets welcomed the news with the shares of HDFC surging some 16 per cent on the BSE in intra-day trade on April 4, while HDFC Bank went up by around 14 per cent. Once the deal is effective, HDFC Bank will be 100 per cent owned by public shareholders, and existing shareholders of HDFC will own 41 per cent of the bank, according to stock exchange filings by the entities. Every HDFC shareholder will get 42 shares of HDFC Bank for 25 shares held. While HDFC brings to

the table its domain expertise in real estate and mortgages, HDFC Bank provides scale and distribution with access to low-cost funds. Sashidhar Jagdishan, CEO & MD of HDFC Bank, said the proposed merger ticks all the right boxes in terms of product offerings, leadership in home loans as well as other retail asset products, distribution strength, and a customer base that can be leveraged to cross-sell a complete suite of financial products.

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BUT WHY DID HDFC need a new home? On top of the list are regulatory challenges. Since the failures of large non-banks like IL&FS, Dewan Housing Finance, Reliance Capital and SREI, the Reserve Bank of India (RBI) has been tightening the regulatory framework for NBFCs, narrowing the gap with banking regulations. A year and a half ago, the RBI's internal working group had also recommended that large NBFCs be converted into banks.

Then, late last year, the regulator introduced the scale-based Revised Regulatory Framework for NBFCs, which directed these entities to maintain a liquidity buffer of high-quality liquid assets to meet any short-term obligations. The RBI has asked NBFCs to maintain liquidity against the next 30 days' outflows on a rolling basis. Called liquidity coverage ratio (LCR), this was introduced for NBFCs for the first time in December 2021 and is designed to move progressively from the existing 50 per cent to 100 per cent in the next four years.

Earlier, NBFCs had to maintain a statutory liquidity ratio (SLR), which was 13 per cent of public deposits. SLR is a minimum percentage of deposits mobilised from the public that a bank must keep in liquid cash and other government securities. According to NBFC experts, the RBI is introducing cash reserve ratio (CRR) or the percentage of a bank's total deposits that it is required to maintain as liquid cash with the central bank) and SLR via the LCR route as the LCR funds effectively qualify as CRR and SLR.

"If you look at our overall liquidity including LCR [and] SLR on public deposits, we were carrying about ₹55,000 crore as liquidity buffer as on December 31, 2021. The current requirement of LCR for housing finance companies (HFCs) is 50 per cent and [it will] gradually go up to 100 per cent over the next two years, which may require some higher liquidity require-